Top Marginal Effective Tax Rates by State and by Source of Income, 2012 Tax Law vs. 2013 Tax Law (as enacted in ATRA)

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Abstract

This paper compares state-by-state estimates of the top marginal effective tax rates (METRs) on wages, interest, dividends, capital gains, and business income for tax year 2012 to the rates enacted into law for 2013 by the American Tax Relief Act of 2012 (ATRA). Overall, the average top METR on wage income increased by approximately six percentage points (41.8 percent to 47.9 percent), while taxes on dividends and capital gains increased by an average of 9.4 percentage points. The top METRs on wages, interest, and partnership/sole proprietor income now exceed 50 percent in California, Hawaii, and New York City.

Note: This paper is an update to an earlier paper written in 2012 prior to enactment of the American Tax Relief Act of 2012 (ATRA).

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Introduction

As the ball dropped in Times Square ringing in 2013, Congress and the President were busy in Washington averting the bulk of the so-called “fiscal cliff” by enacting the American Taxpayer Relief Act of 2012 just days before the 112th Congress was to adjourn. President Barack Obama, fresh off reelection for a second term, was able to fulfill his campaign promise to extend the 2001/2003/2009 tax cuts for most taxpayers, while also allowing the tax cuts to expire for high-income taxpayers. Republicans, who had sought to fully extend the tax cuts, were able to obtain a concession that the higher tax rates would only apply to incomes greater than $400,000, despite the fact that the president had requested that threshold be $250,000.

Republicans had argued from an economic efficiency perspective, claiming that marginal tax rate increases on high-income earners are economically damaging. And many Republicans continue to make this claim even as the higher tax rates are now in effect. Anecdotally, professional golfer Phil Mickelson made a media splash when he suggested that the higher marginal tax rates (both federal and in his home state of California) could cause him to either cut back on his playing schedule or move out of California.

On this key question of marginal tax rates, this report analyzes how the top marginal effective tax rate on various income sources differs from 2012 tax law versus 2013 tax law. The report breaks these tax rates out for all 50 states (plus D.C. and New York City) given that states and localities have different income tax laws. It should be noted that this report is an update of a previous report estimating state-by-state top marginal tax rates first published in December (i.e., prior to the enactment of the American Taxpayer Relief Act of 2012).

Background on the American Taxpayer Relief Act of 2012

The American Taxpayer Relief Act of 2012 (ATRA) prevented a large scale tax increase from occurring in 2013 (when compared to 2012 tax law) for the U.S. economy as a whole, despite the fact that the new law did allow some tax cuts to expire such as the temporary payroll tax cut and the income tax cuts for high-income taxpayers.

The following is a partial list of the tax provisions that were scheduled to take effect in 2013 but were averted by the ATRA:

- Elimination of the 10 percent bracket
- Higher tax brackets (25% to 28%, 28% to 31%, and 33% to 36%)
- Marriage penalties for standard deduction and 15% bracket
- Dividends taxed at ordinary tax rates
- Capital gains taxed at l8% (held five years or longer) or 20% (between 1-5 years)
- Smaller exemption for the alternative minimum tax (AMT)
- Smaller child tax credit ($1,000 to $500)
- Smaller Earned Income Tax Credit (EITC) and Additional Child Tax Credit (ACTC)

- Expiration of the American Opportunity Tax Credit for higher education expenses

Not only were most of the Bush tax cuts extended into 2013, most were made permanent, in addition to a permanent patch for the AMT. The smaller tax cuts passed as part of the 2009 stimulus bill (American Recovery and Reinvestment Act), which included the new tax credit for higher education and further expansion of EITC and ACTC, were only extended for five more years.

In addition to the tax increases that were averted, ATRA also prevented three key spending reductions from taking place: (1) the scheduled termination of emergency unemployment benefits was extended for an additional year, (2) the automatic decrease in Medicare physicians' reimbursement payments was delayed another year (i.e., "Doc Fix"), and (3) the scheduled decreases in government spending (including most notably defense) that were set to take effect in January as outlined in the sequestration portion of the Budget Control Act of 2011 were delayed two months.

Despite ATRA's efforts at averting tax increases for 2013, some federal tax increases in 2013 have indeed taken effect, either because temporary tax cuts were allowed to lapse or because tax provisions in other previous legislation have gone into effect as scheduled for 2013. These include the following:

- The temporary 2-percentage point reduction in employee Social Security taxes has expired after being in place for two years
- The top ordinary tax rate has gone from 35% back to its pre-2001 level of 39.6%, albeit at a higher income threshold ($400,000 for singles and $450,000 for married couples)
- The 15% preferential tax rate on long-term capital gains (assets held longer than 1 year) has increased to 20%
- Like capital gains, qualified dividends are now being taxed at a rate of 20% instead of 15%
- The phase-outs of personal exemptions (PEP) and itemized deductions (the so-called "Pease" provision) for taxpayers earning more than $250,000 have returned
- The new 3.8% tax on unearned income (capital gains, dividends, interest, etc.) for taxpayers with incomes greater than $200,000 (singles) and $250,000 (married) as part of PPACA will take effect
- The new 0.9% tax on Medicare wages for high-income taxpayers as part of PPACA will take effect
- Other new tax increases from PPACA such as the increase in the AGI threshold for the medical expenses itemized deduction from 7.5% to 10% for most taxpayers.

Calculating the Top Marginal Effective Tax Rates by State

The provisions affecting high-income taxpayers cited above significantly affect their marginal effective tax rates (METRs). A taxpayer's marginal effective tax rate is the fraction of the next dollar earned that will be taxed by government. A METR of 25% implies that government would take 25 cents of the next dollar earned. METRs vary primarily by income level, income source, and by state. The progressive rate structure of the federal income tax implies that METRs are typically highest for high-income taxpayers. Also, the tax code treats some income sources differently from others, which means that METRs can vary by the source of income. For example, capital gains and dividends are taxed at a preferential rate compared to wage income. Finally, METRs can vary by state because states have differing state income tax laws, and some locations even have local income taxes on certain income.

For the purposes of this paper, the top marginal effective tax rate is defined as the amount that would be taxed of the next dollar of income earned by a high-income earner in the highest federal and state tax brackets, one who has exhausted through any phase-out of itemized deductions with the exception of the state and local tax deduction which must increase with income. One's METR on a given source of income includes the sum of the top tax rates on that income source at all levels of government (federal, state and local) after also accounting for the effects of deductions (such as the state-and-local tax deduction) and phase-outs. The METRs also include both the employee and employer portion of federal payroll taxes. For example, the 51.9% top METR for wage income in California for 2013 is equal to the 39.6% federal income tax rate plus the new 13.3% top state income tax rate in California minus the deductibility of state taxes against one's federal taxes (5.27%) plus the marginal tax rate effect of Pease returning (1.18%) plus the current 1.45% Medicare employee tax plus the new 0.9% tax on Medicare plus the current 1.45% Medicare employer tax which we assume is borne by workers in the form of reduced after-tax wages. The sum of these tax rates, which equals 52.6%, is then divided by 1.0145 (1 + Medicare employer tax) because assuming that the incidence of the Medicare employer tax is borne by workers implies that the employer contribution should also be added to the worker's income. The final METR figure is thereby 51.9%.

With the exception of the employer share of payroll taxes, the figures quoted in this report exclude any entity-level taxes such as corporate income taxes or the effects of the deductibility of certain income against entity level taxes. It should be noted, however, that if one wishes to add the corporate income tax to account for double taxation (CIT plus dividend taxation), he/she must account for the fact that dividends are issued out of net corporate profits, meaning that a simple sum of the corporate tax rate and dividend METR is not correct. Also, it is assumed for this report that capital gains and dividend income is derived from traditional corporate stocks. Similarly, interest income is assumed to be traditional savings account or corporate bond interest. In some instances, federal and state tax law treat certain capital gains, dividends, and interest differently than other types of that income, such as preferences for government bonds or preferences for local investments. Finally, sales taxes are ignored, despite the fact that sales taxes are a tax on certain uses of income that is earned (consumption of taxable products).

The numbers presented in the tables below take into account the many deductions in the tax code, including the federal deductibility for state and local taxes and even in some cases the ability to deduct one's federal taxes (payroll and/or income) against state taxes. Furthermore, some states use federal itemized deductions in calculating state income tax liability, which implies that one's own state deduction paid is, in effect, deductible against itself (albeit in a different year). The figures reported in this paper account for these types of caveats that permeate the federal and state/local tax system in the United States.

Results

The results presented in tables 1-3 below show that the national average for the top marginal effective tax rate on wage income has gone from 41.8% in 2012 to 47.9% in 2013. The highest marginal effective tax rate on wage income in 2013 would be 51.9% in California. California voters recently approved a measure that would temporarily increase the top tax rate in the state from 10.3% to 13.3% (includes the 1% mental health services tax on income earned over $1 million). That tax increase was actually retroactive to tax year 2012 and is thereby included in both tax years 2012 and 2013 in the tables below. Without Proposition 30, the top METR for 2012 would have been 44.0%. The METRs on wage income also exceed 50% in Hawaii and in New York City for tax year 2013. At the low end of the METR spectrum are those nine states with no tax on wage income (Alaska, Florida, Nevada, New Hampshire, South Dakota, Tennessee, Texas, Washington, and Wyoming).

Tax rates on dividend income were scheduled to face the largest jump from tax year 2012 to 2013 as they were scheduled to be taxed as ordinary income once again. However, the ATRA instead maintains the parity between long-term capital gains and qualified dividends, albeit at a higher rate than 2012. Specifically, the federal rate on long-term capital gains and qualified dividends has increased from 15% in 2012 to 23.8% in 2013 due to a combination of the higher income tax rate and the new 3.8% tax on unearned income enacted in PPACA. Overall, when one includes state and local taxes on capital gains, the top METR would be 28.5% for the national average and exceed 30% in a handful of high-tax locations, including those with abnormally high capital gains incomes such as California and New York City. As Table 1 shows, the national average for dividend income is slightly higher as a handful of states tax capital gains at a lower rate than dividends.

For business income, partnership and sole proprietor income face increases in the top METR from 2012 to 2013 of a similar magnitude to wage income. Income for S corporations, however, is not subject to any of the tax increases in PPACA and only faces those tax increases coming from the expiration of the 2001 and 2003 tax cuts. (S corporation income is not subject to payroll taxes under current law and that remains the case under PPACA. The 3.8% unearned income tax does not subject active business income to the new tax.[1])

Table 1 summarizes the top marginal effective tax rates by state by income source under 2012 law versus 2013 law. Table 2 provides the top statutory tax rates by state by income source for 2012. Finally, Table 3 outlines in more detail the top marginal effective tax rates by state for wage income.

[1] Joint Committee on Taxation, *Technical Explanation Of The Revenue Provisions Of The "Reconciliation Act Of 2010," As Amended, In Combination With The "Patient Protection And Affordable Care Act,"* March 21, 2010.

Table 1: Summary of Top Marginal Effective Tax Rates by Income Source by State, 2012 Law vs. 2013 Law

State	Wages		Interest (Taxable)		Dividends (Qualified)		Capital Gains		Sole Prop & Partnership		S-Corp	
	2012	2013	2012	2013	2012	2013	2012	2013	2012	2013	2012	2013
U.S.	41.8%	47.9%	39.2%	48.2%	19.0%	28.4%	19.1%	28.5%	41.5%	47.5%	39.2%	44.5%
AL	39.5%	45.7%	37.2%	46.4%	17.8%	27.4%	17.8%	27.4%	39.4%	45.6%	37.2%	42.6%
AK	37.4%	42.8%	35.0%	43.4%	15.0%	23.8%	15.0%	23.8%	37.2%	42.6%	35.0%	39.6%
AZ	40.3%	46.7%	38.0%	47.3%	18.0%	27.7%	18.0%	27.7%	40.1%	46.5%	38.0%	43.5%
AR	41.8%	48.1%	39.6%	48.8%	19.6%	29.2%	18.2%	27.9%	41.7%	48.0%	39.6%	45.0%
CA	45.9%	51.9%	43.6%	52.6%	23.6%	33.0%	23.6%	33.0%	45.8%	51.8%	43.6%	48.8%
CO	40.3%	46.7%	38.0%	47.4%	18.0%	27.8%	18.0%	27.8%	40.2%	46.6%	38.0%	43.6%
CT	41.7%	47.9%	39.4%	48.6%	19.4%	29.0%	19.4%	29.0%	41.5%	47.8%	39.4%	44.8%
DE	41.8%	48.0%	39.4%	48.7%	19.4%	29.1%	19.4%	29.1%	41.6%	47.9%	39.4%	44.9%
DC	43.1%	49.3%	40.8%	50.0%	20.8%	30.4%	20.8%	30.4%	43.0%	49.1%	40.8%	46.2%
FL	37.4%	42.8%	35.0%	43.4%	15.0%	23.8%	15.0%	23.8%	37.2%	42.6%	35.0%	39.6%
GA	41.2%	47.5%	38.9%	48.2%	18.9%	28.6%	18.9%	28.6%	41.1%	47.4%	38.9%	44.4%
HI	44.4%	50.5%	42.2%	51.2%	22.2%	31.6%	19.7%	29.4%	44.3%	50.4%	42.2%	47.4%
ID	42.1%	48.4%	39.8%	49.1%	19.8%	29.5%	19.8%	29.5%	42.0%	48.2%	39.8%	45.3%
IL	40.6%	46.9%	38.3%	47.6%	18.3%	28.0%	18.3%	28.0%	40.4%	46.8%	38.3%	43.8%
IN	40.4%	46.7%	38.0%	47.4%	18.0%	27.8%	18.0%	27.8%	40.2%	46.6%	38.0%	43.6%
IA	41.4%	47.4%	39.1%	48.1%	20.3%	29.6%	20.3%	29.6%	41.3%	47.2%	39.1%	44.3%
KS	41.5%	46.9%	39.8%	48.2%	19.8%	28.6%	19.2%	27.9%	41.4%	46.7%	39.2%	43.7%
KY	42.1%	48.4%	38.9%	48.2%	18.9%	28.6%	18.9%	28.6%	42.0%	48.2%	38.9%	44.4%
LA	39.9%	46.1%	37.6%	46.8%	18.4%	27.9%	18.4%	27.9%	39.8%	46.0%	37.6%	43.0%
ME	42.8%	49.0%	40.5%	49.7%	20.5%	30.1%	20.5%	30.1%	42.7%	48.9%	40.5%	45.9%
MD	43.0%	49.2%	40.7%	49.9%	20.7%	30.3%	20.7%	30.3%	42.9%	49.0%	40.7%	46.1%
MA	40.8%	47.1%	38.4%	47.8%	18.4%	28.2%	18.4%	28.2%	40.6%	47.0%	38.4%	44.0%
MI	40.3%	46.6%	37.9%	47.3%	17.9%	27.7%	17.9%	27.7%	40.1%	46.5%	37.9%	43.5%
MN	42.4%	48.6%	40.1%	49.3%	20.1%	29.7%	20.1%	29.7%	42.3%	48.5%	40.1%	45.5%
MS	40.6%	46.9%	38.3%	47.6%	18.3%	28.0%	18.3%	28.0%	40.4%	46.8%	38.3%	43.8%
MO	41.3%	47.6%	38.9%	48.2%	18.9%	28.6%	18.9%	28.6%	41.2%	47.4%	39.0%	44.5%
MT	41.8%	48.1%	39.5%	48.8%	19.5%	29.2%	18.2%	27.9%	41.7%	47.9%	39.5%	45.0%
NE	41.7%	48.0%	39.4%	48.7%	19.4%	29.1%	19.4%	29.1%	41.6%	47.9%	39.4%	44.9%
NV	37.4%	42.8%	35.0%	43.4%	15.0%	23.8%	15.0%	23.8%	37.2%	42.6%	35.0%	39.6%
NH	37.4%	42.8%	38.3%	46.4%	18.3%	26.8%	15.0%	23.8%	37.2%	42.6%	35.0%	39.6%
NJ	43.1%	49.3%	40.8%	50.0%	20.8%	30.4%	20.8%	30.4%	43.0%	49.2%	40.8%	46.2%
NM	40.5%	46.9%	38.2%	47.5%	18.2%	27.9%	16.6%	26.5%	40.4%	46.7%	38.2%	43.7%
NY	44.2%	50.3%	41.9%	51.0%	21.9%	31.4%	21.9%	31.4%	44.1%	50.2%	41.9%	47.2%
NC	42.3%	48.6%	40.0%	49.3%	20.0%	29.7%	20.0%	29.7%	42.2%	48.4%	40.0%	45.5%
ND	39.9%	46.3%	37.6%	47.0%	16.8%	26.7%	16.8%	26.7%	39.8%	46.2%	37.6%	43.2%
OH	42.2%	48.5%	38.9%	48.3%	18.9%	28.7%	18.9%	28.7%	42.1%	48.3%	39.9%	45.4%
OK	40.7%	47.1%	38.4%	47.8%	18.4%	28.2%	18.4%	28.2%	40.6%	46.9%	38.4%	44.0%
OR	43.8%	49.9%	41.4%	50.6%	21.4%	31.0%	21.4%	31.0%	43.7%	49.8%	41.4%	46.8%
PA	40.3%	46.7%	37.0%	46.4%	17.0%	26.8%	17.0%	26.8%	40.2%	46.5%	37.0%	42.6%

RI	41.2%	47.5%	38.9%	48.2%	18.9%	28.6%	18.9%	28.6%	41.1%	47.4%	38.9%	44.4%
SC	41.8%	48.1%	39.6%	48.8%	19.6%	29.2%	17.5%	27.4%	40.4%	46.8%	38.3%	43.8%
SD	37.4%	42.8%	35.0%	43.4%	15.0%	23.8%	15.0%	23.8%	37.2%	42.6%	35.0%	39.6%
TN	37.4%	42.8%	38.9%	47.0%	18.9%	27.4%	15.0%	23.8%	37.2%	42.6%	35.0%	39.6%
TX	37.4%	42.8%	35.0%	43.4%	15.0%	23.8%	15.0%	23.8%	37.2%	42.6%	35.0%	39.6%
UT	40.6%	46.9%	38.3%	47.6%	18.3%	28.0%	18.3%	28.0%	40.4%	46.8%	38.3%	43.8%
VT	43.1%	49.3%	40.8%	50.0%	20.8%	30.4%	20.8%	30.4%	43.0%	49.1%	40.8%	46.2%
VA	41.0%	47.4%	38.7%	48.1%	18.7%	28.5%	18.7%	28.5%	40.9%	47.2%	38.7%	44.3%
WA	37.4%	42.8%	35.0%	43.4%	15.0%	23.8%	15.0%	23.8%	37.2%	42.6%	35.0%	39.6%
WV	41.5%	47.8%	39.2%	48.5%	19.2%	28.9%	19.2%	28.9%	41.4%	47.7%	39.2%	44.7%
WI	42.3%	48.6%	40.0%	49.3%	20.0%	29.7%	18.5%	28.3%	42.2%	48.4%	40.0%	45.5%
WY	37.4%	42.8%	35.0%	43.4%	15.0%	23.8%	15.0%	23.8%	37.2%	42.6%	35.0%	39.6%
NYU	43.0%	49.2%	40.7%	49.9%	20.7%	30.3%	20.7%	30.3%	42.9%	49.1%	40.7%	46.1%
NYC	45.7%	51.7%	43.3%	52.3%	23.3%	32.7%	23.3%	32.7%	45.6%	51.6%	43.3%	48.5%

Sources: Federation of Tax Administrators, Tax Foundation, various state government websites, IRS Statistics of Income Division, and author calculations

Notes:

(a) Top marginal effective tax rate includes the combined effects of federal income taxes, state and local income taxes where local taxes are weighted averages across the state, federal Medicare taxes including those in PPACA, and the interaction between taxes for deductibility purposes.
(b) Capital gains rate refers to assets such as stocks held longer than one year.
(c) U.S. refers to weighted average of all states, weighted by each state's share of that income source earned by tax returns with AGI greater than $500,000.
(d) NYU refers to "New York Upstate," referring to the average for the state of New York *excluding* New York City. NYC refers to New York City. Due to the significant local income tax rate in New York City and its magnitude within the state, this break out provides a more accurate picture of the top marginal effective tax rates across New York.
(e) In no state is the top METR for capital gains higher than that of dividends. However, because capital gains are disproportionately held by high-tax locations (e.g., California and New York City) compared to dividends, the national weighted average for capital gains is higher than the national weighted average for dividends.

Table 2: Top Statutory State Income Tax Rates and Average Local Income Tax Rates by Income Source by State, Tax Year 2012

State	Wages		Interest (Taxable)		Dividends (Qualified)		Capital Gains		Sole Prop & Partnership		S-Corp	
	State	Local	State	Local	State	Local	State	Local	State	Local	State	Local
AL	5.0%	0.1%	5.0%	0.0%	5.0%	0.0%	5.0%	0.0%	5.0%	0.1%	5.0%	0.0%
AK	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
AZ	4.5%	0.0%	4.5%	0.0%	4.5%	0.0%	4.5%	0.0%	4.5%	0.0%	4.5%	0.0%
AR	7.0%	0.0%	7.0%	0.0%	7.0%	0.0%	4.9%	0.0%	7.0%	0.0%	7.0%	0.0%
CA	13.3%	0.1%	13.3%	0.0%	13.3%	0.0%	13.3%	0.0%	13.3%	0.1%	13.3%	0.0%
CO	4.6%	0.0%	4.6%	0.0%	4.6%	0.0%	4.6%	0.0%	4.6%	0.0%	4.6%	0.0%
CT	6.7%	0.0%	6.7%	0.0%	6.7%	0.0%	6.7%	0.0%	6.7%	0.0%	6.7%	0.0%
DE	6.8%	0.1%	6.8%	0.0%	6.8%	0.0%	6.8%	0.0%	6.8%	0.1%	6.8%	0.0%
DC	9.0%	0.0%	9.0%	0.0%	9.0%	0.0%	9.0%	0.0%	9.0%	0.0%	9.0%	0.0%
FL	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
GA	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%
HI	11.0%	0.0%	11.0%	0.0%	11.0%	0.0%	7.3%	0.0%	11.0%	0.0%	11.0%	0.0%
ID	7.4%	0.0%	7.4%	0.0%	7.4%	0.0%	7.4%	0.0%	7.4%	0.0%	7.4%	0.0%
IL	5.0%	0.0%	5.0%	0.0%	5.0%	0.0%	5.0%	0.0%	5.0%	0.0%	5.0%	0.0%
IN	3.4%	1.3%	3.4%	1.3%	3.4%	1.3%	3.4%	1.3%	3.4%	1.3%	3.4%	1.3%
IA	9.0%	0.3%	9.0%	0.3%	9.0%	0.3%	9.0%	0.3%	9.0%	0.3%	9.0%	0.3%
KS	6.5%	0.0%	6.5%	1.0%	6.5%	1.0%	6.5%	0.0%	6.5%	0.0%	6.5%	0.0%
KY	6.0%	1.5%	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%	6.0%	1.5%	6.0%	0.0%
LA	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%
ME	8.5%	0.0%	8.5%	0.0%	8.5%	0.0%	8.5%	0.0%	8.5%	0.0%	8.5%	0.0%
MD	5.8%	3.0%	5.8%	3.0%	5.8%	3.0%	5.8%	3.0%	5.8%	3.0%	5.8%	3.0%
MA	5.3%	0.0%	5.3%	0.0%	5.3%	0.0%	5.3%	0.0%	5.3%	0.0%	5.3%	0.0%
MI	4.3%	0.3%	4.3%	0.3%	4.3%	0.3%	4.3%	0.3%	4.3%	0.3%	4.3%	0.3%
MN	7.9%	0.0%	7.9%	0.0%	7.9%	0.0%	7.9%	0.0%	7.9%	0.0%	7.9%	0.0%
MS	5.0%	0.0%	5.0%	0.0%	5.0%	0.0%	5.0%	0.0%	5.0%	0.0%	5.0%	0.0%
MO	6.0%	0.2%	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%	6.0%	0.2%	6.0%	0.2%
MT	6.9%	0.0%	6.9%	0.0%	6.9%	0.0%	4.9%	0.0%	6.9%	0.0%	6.9%	0.0%
NE	6.8%	0.0%	6.8%	0.0%	6.8%	0.0%	6.8%	0.0%	6.8%	0.0%	6.8%	0.0%
NV	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
NH	0.0%	0.0%	5.0%	0.0%	5.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
NJ	9.0%	0.0%	9.0%	0.0%	9.0%	0.0%	9.0%	0.0%	9.0%	0.0%	9.0%	0.0%
NM	4.9%	0.0%	4.9%	0.0%	4.9%	0.0%	2.5%	0.0%	4.9%	0.0%	4.9%	0.0%
NY	8.8%	1.9%	8.8%	1.9%	8.8%	1.9%	8.8%	1.9%	8.8%	1.9%	8.8%	1.9%
NC	7.8%	0.0%	7.8%	0.0%	7.8%	0.0%	7.8%	0.0%	7.8%	0.0%	7.8%	0.0%
ND	4.0%	0.0%	4.0%	0.0%	2.8%	0.0%	2.8%	0.0%	4.0%	0.0%	4.0%	0.0%
OH	5.9%	1.6%	5.9%	0.1%	5.9%	0.1%	5.9%	0.1%	5.9%	1.6%	5.9%	1.6%
OK	5.3%	0.0%	5.3%	0.0%	5.3%	0.0%	5.3%	0.0%	5.3%	0.0%	5.3%	0.0%
OR	9.9%	0.1%	9.9%	0.0%	9.9%	0.0%	9.9%	0.0%	9.9%	0.1%	9.9%	0.0%
PA	3.1%	1.5%	3.1%	0.0%	3.1%	0.0%	3.1%	0.0%	3.1%	1.5%	3.1%	0.0%
RI	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%	6.0%	0.0%

SC	7.0%	0.0%	7.0%	0.0%	7.0%	0.0%	3.9%	0.0%	5.0%	0.0%	5.0%	0.0%
SD	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
TN	0.0%	0.0%	6.0%	0.0%	6.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
TX	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
UT	5.0%	0.0%	5.0%	0.0%	5.0%	0.0%	5.0%	0.0%	5.0%	0.0%	5.0%	0.0%
VT	9.0%	0.0%	9.0%	0.0%	9.0%	0.0%	9.0%	0.0%	9.0%	0.0%	9.0%	0.0%
VA	5.8%	0.0%	5.8%	0.0%	5.8%	0.0%	5.8%	0.0%	5.8%	0.0%	5.8%	0.0%
WA	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
WV	6.5%	0.0%	6.5%	0.0%	6.5%	0.0%	6.5%	0.0%	6.5%	0.0%	6.5%	0.0%
WI	7.8%	0.0%	7.8%	0.0%	7.8%	0.0%	5.4%	0.0%	7.8%	0.0%	7.8%	0.0%
WY	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
NYU	8.8%	0.0%	8.8%	0.0%	8.8%	0.0%	8.8%	0.0%	0.0%	0.0%	8.8%	0.0%
NYC	8.8%	4.2%	8.8%	3.9%	8.8%	3.9%	8.8%	3.9%	8.8%	4.2%	8.8%	3.9%

Sources: Federation of Tax Administrators, Tax Foundation, various state government websites, IRS Statistics of Income Division, and author calculations

Notes:

(a) Average local income tax rate for each income source is calculated using a weighted average across the state. For example, New York's average local rate is weighted heavily (almost 50 percent) by New York City's local income tax.

(b) Local employer taxes, such as those in San Francisco and Newark, are assumed to be borne by workers in the form of lower wages, similar to federal payroll tax. (See discussion in text.)

(c) For 2013, the following changes apply to the 2012 table above: Kansas rate dropped to 4.9%. Note that Maryland and California each increased its 2012 (and 2013) tax rates retroactively within 2012. Delaware's tax rate is scheduled to drop to 4.95% in 2014 and is not reflected in the table.

(d) NYU refers to "New York Upstate," referring to the average for the state of New York *excluding* New York City. NYC refers to New York City. Due to the significant local income tax rate in New York City and its magnitude within the state, this break out provides a more accurate picture of the top marginal effective tax rates across New York.

(e) Figures in table are rounded to nearest tenth. Even though a number may be 0.0 in table, it may be positive yet small enough to round down to zero.

Table 3: Decomposition of the Top Marginal Effective Tax Rate on Wage Income for Tax Years 2012 and 2013

State	Federal Wage Rate		State Wage Rate		Local Wage Rate		Net Federal Wage Rate		Federal Payroll Rate		Total	
	2012	2013	2012	2013	2012	2013	2012	2013	2012	2013	2012	2013
U.S.	35%	39.6%	-	-	-	-	-	-	2.9%	3.8%	-	-
AL	35%	39.6%	5.0%	5.0%	0.1%	0.1%	33.8%	39.6%	2.9%	3.8%	39.5%	45.7%
AK	35%	39.6%	0.0%	0.0%	0.0%	0.0%	35.0%	39.6%	2.9%	3.8%	37.4%	42.8%
AZ	35%	39.6%	4.5%	4.5%	0.0%	0.0%	33.4%	39.0%	2.9%	3.8%	40.3%	46.7%
AR	35%	39.6%	7.0%	7.0%	0.0%	0.0%	32.6%	38.0%	2.9%	3.8%	41.8%	48.1%
CA	35%	39.6%	13.3%	13.3%	0.1%	0.1%	30.3%	35.5%	2.9%	3.8%	45.9%	51.9%
CO	35%	39.6%	4.6%	4.6%	0.0%	0.0%	33.4%	39.0%	2.9%	3.8%	40.3%	46.7%
CT	35%	39.6%	6.7%	6.7%	0.0%	0.0%	32.7%	38.1%	2.9%	3.8%	41.7%	47.9%
DE	35%	39.6%	6.8%	6.8%	0.1%	0.1%	32.6%	38.1%	2.9%	3.8%	41.8%	48.0%
DC	35%	39.6%	9.0%	9.0%	0.0%	0.0%	31.9%	37.2%	2.9%	3.8%	43.1%	49.3%
FL	35%	39.6%	0.0%	0.0%	0.0%	0.0%	35.0%	39.6%	2.9%	3.8%	37.4%	42.8%
GA	35%	39.6%	6.0%	6.0%	0.0%	0.0%	32.9%	38.4%	2.9%	3.8%	41.2%	47.5%
HI	35%	39.6%	11.0%	11.0%	0.0%	0.0%	31.2%	36.4%	2.9%	3.8%	44.4%	50.5%
ID	35%	39.6%	7.4%	7.4%	0.0%	0.0%	32.4%	37.9%	2.9%	3.8%	42.1%	48.4%
IL	35%	39.6%	5.0%	5.0%	0.0%	0.0%	33.3%	38.8%	2.9%	3.8%	40.6%	46.9%
IN	35%	39.6%	3.4%	3.4%	1.3%	1.3%	33.4%	38.9%	2.9%	3.8%	40.4%	46.7%
IA	35%	39.6%	9.0%	9.0%	0.3%	0.3%	32.8%	38.5%	2.9%	3.8%	41.4%	47.4%
KS	35%	39.6%	6.5%	6.5%	0.0%	0.0%	32.7%	38.8%	2.9%	3.8%	41.5%	46.9%
KY	35%	39.6%	6.0%	6.0%	1.5%	1.5%	32.4%	37.9%	2.9%	3.8%	42.1%	48.4%
LA	35%	39.6%	6.0%	6.0%	0.0%	0.0%	33.6%	39.3%	2.9%	3.8%	39.9%	46.1%
ME	35%	39.6%	8.5%	8.5%	0.0%	0.0%	32.0%	37.4%	2.9%	3.8%	42.8%	49.0%
MD	35%	39.6%	5.8%	5.8%	3.0%	3.0%	31.9%	37.3%	2.9%	3.8%	43.0%	49.2%
MA	35%	39.6%	5.3%	5.3%	0.0%	0.0%	33.1%	38.7%	2.9%	3.8%	40.8%	47.1%
MI	35%	39.6%	4.3%	4.3%	0.3%	0.3%	33.4%	39.0%	2.9%	3.8%	40.3%	46.6%
MN	35%	39.6%	7.9%	7.9%	0.0%	0.0%	32.3%	37.7%	2.9%	3.8%	42.4%	48.6%
MS	35%	39.6%	5.0%	5.0%	0.0%	0.0%	33.3%	38.8%	2.9%	3.8%	40.6%	46.9%
MO	35%	39.6%	6.0%	6.0%	0.2%	0.2%	32.9%	38.4%	2.9%	3.8%	41.3%	47.6%
MT	35%	39.6%	6.9%	6.9%	0.0%	0.0%	32.6%	38.1%	2.9%	3.8%	41.8%	48.1%
NE	35%	39.6%	6.8%	6.8%	0.0%	0.0%	32.6%	38.1%	2.9%	3.8%	41.7%	48.0%
NV	35%	39.6%	0.0%	0.0%	0.0%	0.0%	35.0%	39.6%	2.9%	3.8%	37.4%	42.8%
NH	35%	39.6%	0.0%	0.0%	0.0%	0.0%	35.0%	39.6%	2.9%	3.8%	37.4%	42.8%
NJ	35%	39.6%	9.0%	9.0%	0.0%	0.0%	31.8%	37.2%	2.9%	3.8%	43.1%	49.3%
NM	35%	39.6%	4.9%	4.9%	0.0%	0.0%	33.3%	38.8%	2.9%	3.8%	40.5%	46.9%
NY	35%	39.6%	8.8%	8.8%	1.9%	1.9%	31.2%	36.5%	2.9%	3.8%	44.2%	50.3%
NC	35%	39.6%	7.8%	7.8%	0.0%	0.0%	32.3%	37.7%	2.9%	3.8%	42.3%	48.6%
ND	35%	39.6%	4.0%	4.0%	0.0%	0.0%	33.6%	39.2%	2.9%	3.8%	39.9%	46.3%
OH	35%	39.6%	5.9%	5.9%	1.6%	1.6%	32.4%	37.8%	2.9%	3.8%	42.2%	48.5%
OK	35%	39.6%	5.3%	5.3%	0.0%	0.0%	33.2%	38.7%	2.9%	3.8%	40.7%	47.1%
OR	35%	39.6%	9.9%	9.9%	0.1%	0.1%	31.5%	36.8%	2.9%	3.8%	43.8%	49.9%
PA	35%	39.6%	3.1%	3.1%	1.5%	1.5%	33.4%	39.0%	2.9%	3.8%	40.3%	46.7%

RI	35%	39.6%	6.0%	6.0%	0.0%	0.0%	32.9%	38.4%	2.9%	3.8%	41.2%	47.5%
SC	35%	39.6%	7.0%	7.0%	0.0%	0.0%	32.6%	38.0%	2.9%	3.8%	41.8%	48.1%
SD	35%	39.6%	0.0%	0.0%	0.0%	0.0%	35.0%	39.6%	2.9%	3.8%	37.4%	42.8%
TN	35%	39.6%	0.0%	0.0%	0.0%	0.0%	35.0%	39.6%	2.9%	3.8%	37.4%	42.8%
TX	35%	39.6%	0.0%	0.0%	0.0%	0.0%	35.0%	39.6%	2.9%	3.8%	37.4%	42.8%
UT	35%	39.6%	5.0%	5.0%	0.0%	0.0%	33.3%	38.8%	2.9%	3.8%	40.6%	46.9%
VT	35%	39.6%	9.0%	9.0%	0.0%	0.0%	31.9%	37.2%	2.9%	3.8%	43.1%	49.3%
VA	35%	39.6%	5.8%	5.8%	0.0%	0.0%	33.0%	38.5%	2.9%	3.8%	41.0%	47.4%
WA	35%	39.6%	0.0%	0.0%	0.0%	0.0%	35.0%	39.6%	2.9%	3.8%	37.4%	42.8%
WV	35%	39.6%	6.5%	6.5%	0.0%	0.0%	32.7%	38.2%	2.9%	3.8%	41.5%	47.8%
WI	35%	39.6%	7.8%	7.8%	0.0%	0.0%	32.3%	37.7%	2.9%	3.8%	42.3%	48.6%
WY	35%	39.6%	0.0%	0.0%	0.0%	0.0%	35.0%	39.6%	2.9%	3.8%	37.4%	42.8%
NYU	35%	39.6%	8.9%	8.9%	0.0%	0.0%	31.9%	37.3%	2.9%	3.8%	43.0%	49.2%
NYC	35%	39.6%	8.9%	8.9%	3.9%	3.9%	30.4%	35.6%	2.9%	3.8%	45.7%	51.7%

Sources: Federation of Tax Administrators, Tax Foundation, various state government websites, IRS Statistics of Income Division, and author calculations

Notes:

(a) Top marginal effective tax rate includes the combined effects of federal income taxes, state and local income taxes where local taxes are weighted averages across the state, federal Medicare taxes including those in PPACA, and the interaction between taxes for deductibility purposes.

(b) U.S. refers to weighted average of all states, weighted by each state's share of that income source earned by tax returns with AGI greater than $500,000.

(c) NYU refers to "New York Upstate," referring to the average for the state of New York *excluding* New York City. NYC refers to New York City. Due to the significant local income tax rate in New York City and its magnitude within the state, this break out provides a more accurate picture of the top marginal effective tax rates across New York.

(d) Figures in table are rounded to nearest tenth. Even though a number may be 0.0 in table, it may be positive yet small enough to round down to zero.